

THIS ENDORSEMENT CHANGES YOUR POLICY. PLEASE READ IT CAREFULLY.

WINERY/DISTILLERY PROPERTY ENDORSEMENT

This endorsement modifies insurance provided under the following Coverage Part(s):

BUILDING AND PERSONAL PROPERTY COVERAGE FORM
PROPERTY ENHANCEMENT ENDORSEMENT
SPECIAL PROPERTY ENHANCEMENT ENDORSEMENT
SPECIAL PROPERTY PLUS ENHANCEMENT ENDORSEMENT
BUSINESS INCOME (AND EXTRA EXPENSE) COVERAGE FORM
BUSINESS INCOME (WITHOUT EXTRA EXPENSE) COVERAGE FORM

SCHEDULE A

Coverage	Limit of Insurance	
Trees, Plants and Shrubs	\$25,000	Per Occurrence
	\$1,000	Per Tree, Plant, or Shrub
Brands and Labels Expense	\$50,000	Per Occurrence
Contractual Penalties	\$25,000	Per Occurrence
Wine/Distilled Spirits Contamination	\$50,000	Per Occurrence
Wine/Distilled Spirits Leakage	\$25,000	Per Occurrence
If no limit is shown for a coverage in this Schedule, refer to the applicable Coverage for the Limit of Insurance provided.		

SCHEDULE B

Location/Building	Wine/Distilled Spirits Contamination Limit of Insurance	Wine/Distilled Spirits Leakage Limit of Insurance
1/1	\$11,000	\$71,000
2/1	\$120,000	\$72,000
3/2	\$130,000	\$73,000

If no limit is shown for a coverage in this Schedule, refer to the applicable Coverage for the Limit of Insurance provided.

A. The following is added to the VALUATION LOSS CONDITIONS of the BUILDING AND PERSONAL PROPERTY COVERAGE FORM:

Wine or Distilled Spirits Market Value

1. We will determine the value of "bottled winery or distilled spirits products", in the event of loss or damage, as follows:
 - a. Cellared, rare or vintage "wines" or spirits, if irreplaceable in the market, will be valued on the date of loss at the average market listing, had no loss or damage occurred, as determined by three well established and reputable wine merchants selected by us;
 - b. "Wine" or spirits in the state of process, including in bottles, tanks or barrels, will be valued at the lesser of:
 - (1) The three-year average wholesale market price of the "wine" or spirits, less unincurred costs (i.e. bottling, storage, labels, printing, labor), for that same varietal or vintage from the same vineyard; or
 - (2) If the three-year average wholesale market price described in paragraph (1) above is not available, the three-year industry wide average wholesale market price, less unincurred costs, for the same varietal or vintage; or
 - (3) The cost to replace the "wine" or spirits with "wine" or spirits of like kind, quality and state of fermentation, if replaceable;
 - c. "Wine" or spirits that are ready for sale, other than cellared, rare or vintage "wine" or spirits that are irreplaceable in the market, will be valued at the price the "wine" or spirits could have been sold for, as case goods, as of the time and place of loss or damage had no loss or damage occurred.
2. We will determine the value of "bulk wine or distilled spirits", in the event of loss or damage, at the lesser of:
 - a. The price the "wine" or distilled spirits could have been sold for as of the time and place of loss or damage had no loss or damage occurred; or
 - b. The market price of "bulk wine or distilled spirits" of like kind and quality as of the time and place of loss or damage.
3. All values exclude:
 - a. Unpaid U.S. Government Internal

Revenue taxes for which you are liable; and

- b. Discounts and expenses you otherwise would have had.

But values include State, County and Local taxes for which you are liable.

B. The following is added to the LOSS CONDITIONS of the BUILDING AND PERSONAL PROPERTY COVERAGE FORM:

Transfer of Rights of Recovery Against Others To Us

If any person or organization to or for whom we make payment under this Coverage Part has rights to recover prepaid taxes or duties that are included in our payment, those rights are transferred to us.

C. The following are added to the Coverage Extensions of the PROPERTY ENHANCEMENT ENDORSEMENT, SPECIAL PROPERTY ENHANCEMENT ENDORSEMENT or SPECIAL PROPERTY PLUS ENHANCEMENT ENDORSEMENT:

1. Trees, Plants and Shrubs

You may extend the insurance provided by this Coverage Form, including debris removal expense, to apply to direct physical loss of or damage to your outdoor trees, plants and shrubs at the described premises. This coverage extension does not apply to trees or vines used in the production of orchard or vineyard products.

- a. This Coverage Extension applies only to loss or damage caused by or resulting from any of the following causes of loss:
 - (1) Fire;
 - (2) Lightning;
 - (3) Explosion;
 - (4) Riot or civil commotion;
 - (5) Aircraft;
 - (6) Vehicles not owned or operated by you or your employees;
 - (7) Vandalism; or
 - (8) Theft;

but only to the extent they are Covered Causes of Loss.

- b. The most we will pay for all loss or damage in any one occurrence under this Coverage Extension, regardless of the number of trees, plants or shrubs lost or damaged in that occurrence, is the Per Occurrence amount listed in Schedule A of this endorsement. We will not pay more than the Per Tree,

Plant, or Shrub amount listed in Schedule A of this endorsement for loss or damage to any one tree, plant or shrub. This coverage is excess over any other tree, plant or shrub coverage available.

- c. With respect to the insurance provided by this Coverage Extension:

(1) Subparagraph **h.** in paragraph **2. Property Not Covered** under **A. Coverage** as found in the BUILDING AND PERSONAL PROPERTY COVERAGE FORM does not apply.

(2) Subparagraph **q.(1)** in paragraph **2. Property Not Covered** under **A. Coverage** as found in the BUILDING AND PERSONAL PROPERTY COVERAGE FORM does not apply.

2. Brands and Labels Expense

If branded or labeled merchandise that is Covered Property is damaged by a Covered Cause of Loss, we may take all or part of the property at an agreed or appraised value. If we do, you may:

- a. Stamp the word 'salvage' on the merchandise or its containers, if the stamp will not physically damage the merchandise; or
- b. Remove the brands or labels, if doing so will not physically damage the merchandise. You must re-label the merchandise to comply with any applicable laws.

The most we will pay for reasonable and necessary costs you incur is the amount shown in the Schedule of this endorsement for Brands and Labels Expense. But the amount we will pay for these costs and the value of the damaged property will not exceed the applicable Limit of Insurance on such property.

- D. The following is added to the **Additional Coverages** of the PROPERTY ENHANCEMENT ENDORSEMENT, SPECIAL PROPERTY ENHANCEMENT ENDORSEMENT or SPECIAL PROPERTY PLUS ENHANCEMENT ENDORSEMENT:

1. Contractual Penalties

- a. We will pay for the cost of contractual penalties you are assessed or required to pay your customers for failure to timely deliver your "wine" or distilled spirits products in accordance with the contract terms and conditions of a

written contract or agreement. These contractual penalties must result from:

- (1) Direct physical loss or damage caused by or resulting from a Covered Cause of Loss; and
- (2) A written contract or agreement that was executed and in effect prior to the loss or damage which caused the failure to timely deliver your "wine" or distilled spirits products.

- b. We will not pay under this Additional Coverage for:
- c. Any fine or penalty imposed by ordinance, regulation, or governmental authority;
- d. Contractual penalties assessed after the written contract or agreement ends.

2. The most we will pay under this Additional Coverage in any one occurrence, regardless of the number of written contracts or agreements involved in that occurrence, is the Limit of Insurance shown in the Schedule of this endorsement applicable to Contractual Penalties.

- E. The following is added to the **BUILDING AND PERSONAL PROPERTY COVERAGE FORM, BUSINESS INCOME (AND EXTRA EXPENSE) COVERAGE FORM** or **BUSINESS INCOME (WITHOUT EXTRA EXPENSE) COVERAGE FORM**:

Wine or Distilled Spirits Contamination

The insurance, if any, provided under the Commercial Property Coverage Part for direct physical loss or damage to "wine" or distilled spirits products; and Business Income and/or Extra Expense that is a consequence of direct physical loss or damage to "wine" or distilled spirits products is amended by the following:

1. We will not pay for loss or damage caused by or resulting from contamination of "wine" or distilled spirits products, whether finished or in-process, unless the contamination is itself caused by or results from:
 - a. Any of the "specified causes of loss" as defined in the Property Enhancement Endorsement, Special Property Enhancement Endorsement or the Special Property Plus Enhancement Endorsement; or
 - b. Contact of the "wine" or distilled spirits products with residual cleaning solvents within the tanks, vessels or barrels, including their component parts and connections, used to process or store the "wine" or distilled spirits products; or

- c. Cork taint, oxidation, bacterial or fungal presence resulting in change in flavor, taste, color, texture, finish, smell, scent or appearance.
- 2. The most we will pay for loss or damage that is caused by or results from contamination of "wine" or distilled spirits products is the applicable Limit of Insurance shown in the Schedule of this endorsement. The limit shown in Schedule A applies unless a higher Limit of Insurance is shown in Schedule B for the specific location or building where the loss or damage occurs, in which case that higher Limit of Insurance applies. This limit:
 - a. Applies per occurrence; and
 - b. Applies regardless of the number of coverages or Coverage Forms involved; and
 - c. Is part of, and does not increase the Limits of Insurance provided under these Coverage Parts.

Wine/Distilled Spirits Leakage

The insurance, if any, provided under the Commercial Property Coverage Part for direct physical loss or damage to "wine" or distilled spirits products; and Business Income and/or Extra Expense that is a consequence of direct physical loss or damage to "wine" or distilled spirits products is amended by the following:

- 1. We will not pay for loss or damage caused by or resulting from leakage of finished or in-process "wine" or distilled spirits products from any tanks, vessels or barrels used to process or store the "wine" or distilled spirits products, or from any component parts of or connections to or from the tanks, vessels or barrels, unless the "wine" or distilled spirits leakage is itself caused by or results from:
 - a. Any Covered Cause of Loss; or
 - b. The implosion or inward collapse of the tank, vessel or barrel due to the failure of a pressure relief device on the tank, vessel or barrel; or
 - c. Errors or omissions in the workmanship of you or your employee(s) including faulty, inadequate or defective:
 - (1) Design, specifications, repair, construction, renovation, remodeling, grading, compaction;
 - (2) Materials used in repair, construction, renovation or remodeling; or
 - (3) Maintenance; of part or all of any property on the described premises.

- d. We will not pay for any loss or damage caused by or resulting from "wine" or distilled spirits leakage that can reasonably be considered normal and customary to the trade.
- e. The most we will pay for loss or damage that is caused by or results from leakage of "wine" or distilled spirits products is the applicable Limit of Insurance shown in the Schedule of this endorsement. The limit shown in Schedule A applies unless a higher Limit of Insurance is shown in Schedule B for the specific location or building where the loss or damage occurs, in which case that higher Limit of Insurance applies. This limit:
 - (1) Applies per occurrence; and
 - (2) Applies regardless of the number of coverages or Coverage Forms involved; and
 - (3) Is part of, and does not increase, the Limits of Insurance provided under these Coverage Parts.

F. Definitions

- 1. **"Bottled Winery or Distilled Spirits Products"** means "wine" and other winery products or distilled spirits:
 - a. In the bottle or otherwise packaged ready for sale or distribution; or
 - b. Not bottled or otherwise packaged ready for sale or distribution, but:
 - (1) Irreplaceable in kind and quality; and
 - (2) In the ordinary course of your business, would be bottled or otherwise packaged for sale or distribution and in your hands as producer or processor.
- 2. **"Bulk Wine or Distilled Spirits"** means "wine" or distilled spirits, in your hands as a producer or processor:
 - a. Replaceable and not in a bottle or otherwise packaged ready for sale or distribution; and
 - b. Other than "bottled winery or distilled spirits products".
- 3. **"Wine"** means:
 - a. Wine as defined in section 610 and section 617 of the Revenue Act of 1918 as now in force or hereafter amended, and
 - b. Other alcoholic beverages not so defined, but made in the manner of wine, including sparkling and

carbonated wine, wine made from condensed grape must, wine made from other agricultural products than the juice of sound, ripe grapes, imitation wine, compounds sold as wine, vermouth, cider, perry and sake, in each instance only if containing not less than 7 percent and not more than 24 percent alcohol by volume, and if for non-industrial use.

